



Capital
Markets

February 27, 2026

HSBC Holdings plc

Model update

Our view: We update our estimates following HSBC's Q4'25 results, increasing our PT to 1,200p (prev 1,050p) and reiterating our Sector Perform rating.

Key points:

Changes to our estimates

Our FY27E adj PBT increases by 9% driven by higher banking NII (higher loan growth and NIM) and lower operating expenses, which are partially offset by lower fee and other income. On a divisional basis, the increase was driven by CIB (largely higher revenue & lower costs), Hong Kong (higher Banking NII) and the Corporate Centre (higher profits in associates and JVs).

RBCe vs guidance

We model banking NII of \$45.5bn/\$46.5bn/\$48.0bn in FY26E/27E/28E, respectively (guidance FY26 ≥\$45bn). For costs, we model underlying growth of 1.4%/1.8%/1.7% in FY26E/27E/FY28E, respectively (guidance FY26 c.1%).

We model cost of risk of 41bps in FY26 (guidance c.40bps), coming down to 39/38bps in FY27/28E, towards the top end of management's through-the-cycle 30-40bps target range. This leads us to an ROTE ex notable items estimate of 17.6%/17.7%/18.2% in FY26E/27E/28E, which compares to management's guidance of "17% or better" in FY26-28E.

We model total shareholder returns for FY25E-FY27E of \$72bn (dividends \$46bn; buybacks \$26bn), equating to a 3yr average total shareholder return yield of c.7.8% (dividend 5.0%; buybacks 2.8%).

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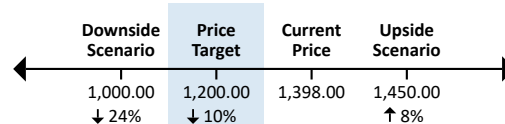
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Sector Perform

LSE: HSBA; GBp 1,398.00

Price Target GBp 1,200 ↑ 1,050

Scenario Analysis*



*Implied Total Returns

Key Statistics

Shares O/S (MM):	17,272.0	Market Cap (MM):	241,463
Dividend:	0.85	Yield:	4.5%
		Avg. Daily Volume:	13,301,580

Market Cap in GBP

RBC Estimates

FY Dec	2025A	2026E	2027E	2028E
EPS, Adj Diluted	1.58	1.69	1.83	2.02
Prev.	1.54	1.54	1.67	1.81
P/AEPS	11.9x	11.2x	10.3x	9.3x
ROTE, Adj	17.4%	17.6%	17.7%	18.2%
Prev.	16.9%	15.9%	16.0%	16.1%
TBVPS	9.48	9.88	10.57	11.38
Prev.	9.17	9.82	10.53	11.31
P/TBVPS	2.0x	1.9x	1.8x	1.7x
DPS	0.75	0.85	0.92	1.01
Prev.	0.74	0.76	0.83	0.90
Div Yield	4.0%	4.5%	4.9%	5.4%
CET1 Ratio	14.9%	14.1%	14.1%	14.2%
Prev.	15.1%	14.0%	13.9%	13.9%

ROTE, Adj: ROTE inc AT1

CET1 Ratio: IFRS9 phased-in

EPS, Adj Diluted: inc AT1

DPS: Ordinary dividends only

All market data in GBp; all financial data in USD.

Priced as of prior trading day's market close, EST (unless otherwise noted).



Q4'25 results vs consensus

Exhibit 1 - HSBC - Q4'25 results vs consensus

P&L (Reported, US\$m)	Q4 24	Q3 25	Q4 25	Q/Q	Y/Y	Consensus	
						Q4 25	Q4 v Cons
Banking NII	10,904	11,049	11,722	6%	8%	11,057	6%
Fee and other income	660	6,739	4,642	(31%)	603%	4,392	6%
Total revenue	11,564	17,788	16,364	(8%)	42%	15,448	6%
Change in ECL and other impairments	(1,362)	(1,008)	(901)	(11%)	(34%)	(1,020)	(12%)
Total operating expenses	(8,604)	(10,076)	(9,330)	(7%)	8%	(9,321)	0%
Profit in associates and JVs net of impairment	679	591	669	13%	(1%)	648	3%
Profit/(loss) before tax	2,277	7,295	6,802	(7%)	199%	5,756	18%
Taxation	(1,692)	(1,792)	(1,615)	(10%)	(5%)	(1,402)	15%
Profit/(loss) after tax	585	5,503	5,187	(6%)	787%	4,355	19%
NCI & AT1	(388)	(630)	(468)	(26%)	21%	(400)	17%
Profit/(loss) attribut. to ord. shareholders	197	4,873	4,719	(3%)	2295%	3,954	19%

P&L (Notable items, US\$m)	Q4 24	Q3 25	Q4 25	Q/Q	Y/Y	Consensus	
						Q4 25	Q4 v Cons
Banking NII	(46)	0	0	n/a	(100%)	0	n/a
Fee and other income	(4,894)	(112)	(1,359)	1113%	(72%)	(1,697)	(20%)
Total revenue	(4,940)	(112)	(1,359)	1113%	(72%)	(1,697)	(20%)
Change in ECL and other impairments	0	0	0	n/a	n/a	0	n/a
Total operating expenses	(106)	(1,696)	(425)	(75%)	301%	(401)	6%
Profit in associates and JVs net of impairment	0	0	0	n/a	n/a	0	n/a
Profit/(loss) before tax	(5,046)	(1,808)	(1,784)	(1%)	(65%)	(2,098)	(15%)

P&L (Adjusted, US\$m)	Q4 24	Q3 25	Q4 25	Q/Q	Y/Y	Consensus	
						Q4 25	Q4 v Cons
Banking NII	10,950	11,049	11,722	6%	7%	11,057	6%
Fee and other income	5,554	6,851	6,001	(12%)	8%	6,088	(1%)
Total revenue	16,504	17,900	17,723	(1%)	7%	17,145	3%
Change in ECL and other impairments	(1,362)	(1,008)	(901)	(11%)	(34%)	(1,020)	(12%)
Total operating expenses	(8,498)	(8,380)	(8,905)	6%	5%	(8,920)	(0%)
Profit in associates and JVs net of impairment	679	591	669	13%	(1%)	648	3%
Profit/(loss) before tax	7,323	9,103	8,586	(6%)	17%	7,854	9%

TVBps (US\$)	8.61	9.22	9.64	5%	12%	9.38	3%
CET1 Ratio	14.9%	14.5%	14.9%	40bps	0bps	14.7%	20bps
Total DPS (US\$)	0.36	0.10	0.45	350%	25%	0.42	7%
Loans & advances to customers (net, US\$bn)	931	983	988	1%	6%	979	1%
NIM	1.54%	1.57%	1.64%	7bps	10bps	1.56%	8bps
Average Interest Earning Assets (US\$bn)	2,113	2,218	2,221	0%	5%	2,225	(0%)
Cost-to-income ratio (Adjusted)	51.5%	46.8%	50.2%	343bps	-125bps	52.0%	-178bps
Cost of risk	0.57%	0.40%	0.36%	-4bps	-21bps	0.42%	-6bps

Source: Company data, pre-Q4'25 company-compiled consensus, Visible Alpha, RBC Capital Markets.



Changes to our estimates

Exhibit 2 - We increase our PT to 1,200p (prev 1,050p) and reiterate our Sector Perform rating

	Before			After			Change		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
HSBC P&L (adj, \$m)									
Banking NII	43,004	43,833	44,543	45,499	46,524	48,048	6%	6%	8%
Total revenue	71,198	73,421	75,545	73,429	75,968	79,218	3%	3%	5%
Change in ECL and other impairments	-4,105	-4,041	-4,032	-4,086	-4,046	-4,077	(0%)	0%	1%
Net operating income	67,093	69,380	71,513	69,342	71,922	75,142	3%	4%	5%
Total operating expenses	-34,466	-35,218	-36,036	-33,949	-34,572	-35,168	(2%)	(2%)	(2%)
Operating profit	32,627	34,162	35,477	35,393	37,351	39,973	8%	9%	13%
Profit in associates and JVs net of impairment	2,450	2,505	2,560	2,681	2,735	2,790	9%	9%	9%
Profit/(loss) before tax	35,077	36,667	38,037	38,074	40,086	42,763	9%	9%	12%
Profit/(loss) after tax	27,798	29,058	30,145	30,288	31,888	34,018	9%	10%	13%
Net attributable profit/(loss) inc AT1	26,464	27,718	28,798	28,986	30,591	32,724	10%	10%	14%
Banking NIM (% avg total assets)	1.33	1.34	1.33	1.39	1.39	1.41	6bps	6bps	7bps
Loan growth %	3.2	3.4	3.4	4.0	3.8	3.6	0.74	0.39	0.23
Cost income ratio (adj) %	48.4	48.0	47.7	46.2	45.5	44.4	(2.17)	(2.46)	(3.31)
Cost of risk %	0.41	0.39	0.38	0.41	0.39	0.38	(0.01)	(0.01)	(0.01)
EPS (adj inc AT1)	1.54	1.67	1.81	1.69	1.83	2.02	10%	10%	12%
EPS (rep inc AT1)	1.49	1.64	1.78	1.61	1.80	1.99	9%	10%	12%
Ordinary DPS	0.76	0.83	0.90	0.85	0.92	1.01	12%	10%	12%
Special DPS	0.00	0.00	0.00	0.00	0.00	0.00	n/m	n/m	n/m
Buyback (\$m)	7,000	9,500	9,500	7,000	9,500	9,500	0%	0%	0%
Total Return ps	1.17	1.41	1.50	1.26	1.49	1.60	8%	6%	7%
TBVps	9.82	10.53	11.31	9.88	10.57	11.38	1%	0%	1%
ROTE (adj inc AT1) %	15.9	16.0	16.1	17.6	17.7	18.2	1.7	1.7	2.1
Core tier 1 ratio %	14.0	13.9	13.9	14.1	14.1	14.2	0.1	0.1	0.2
Valuation per share		1,050			1,200			14%	
Divisional PBT (adj, \$m)	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Hong Kong	9,840	10,673	11,326	10,294	11,269	12,365	5%	6%	9%
UK	7,428	7,746	7,959	7,650	8,174	8,484	3%	6%	7%
CIB	10,926	10,949	10,995	12,450	12,522	13,107	14%	14%	19%
IWPB	4,493	4,934	5,421	4,705	5,130	5,808	5%	4%	7%
Corporate Centre	2,389	2,365	2,336	2,976	2,991	2,999	25%	26%	28%
Group									

Source: RBC Capital Markets estimates

RBCe vs guidance

Exhibit 3 - HSBC - RBCe vs guidance

HSBC Group - Guidance (as of Q4'25)				RBCe		
	2026	2027	2028	2026	2027	2028
Banking NII	At least \$45bn			45.5	46.5	48.0
Fee and other income	c.\$0.6bn net negative impact			(0.6)	(0.2)	(0.2)
Revenue (ex notable items)	Rising to 5% y/y growth by 2028			3.4%	3.5%	4.3%
Costs (target basis)	c.1% growth y/y			1.4%	1.8%	1.7%
Costs (target basis)	c.\$33.6-34.0bn			33.9	34.6	35.2
Restructuring charges ex Hang Seng	c.\$0.8bn			(0.8)	(0.3)	(0.3)
Restructuring charges - Hang Seng	c.\$0.6bn (material notable item)			(0.2)	(0.2)	(0.2)
COR	c.40bps			0.41%	0.39%	0.38%
ROTE (ex notable items)	17% or better each year			17.6%	17.7%	18.2%
CET1 Ratio	14-14.5% target range			14.1%	14.1%	14.2%
Dividend payout	50% of EPS ex material notable items and related impacts			50%	50%	50%

Source: Company guidance, RBC Capital Markets estimates



RBCe vs consensus

Exhibit 4 - HSBC - RBCe vs consensus

Group - RBC vs consensus				RBCe			Consensus (11/02/26)			Difference		
P&L (Reported, US\$m)	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Banking NII	45,499	46,524	48,048	43,510	44,366	46,045	43,510	44,366	46,045	4%	5%	4%
Fee and other income	27,329	29,219	30,995	27,773	29,563	31,275	27,773	29,563	31,275	(2%)	(1%)	(1%)
Total revenue	72,829	75,743	79,043	71,283	73,929	77,320	71,283	73,929	77,320	2%	2%	2%
Change in ECL and other impairments	(4,086)	(4,046)	(4,077)	(3,964)	(3,854)	(3,782)	(3,964)	(3,854)	(3,782)	3%	5%	7%
Total operating expenses	(34,949)	(35,072)	(35,668)	(35,043)	(35,278)	(36,157)	(35,043)	(35,278)	(36,157)	(0%)	(1%)	(1%)
Profit in associates and JVs net of impairment	2,681	2,735	2,790	2,768	2,864	3,055	2,768	2,864	3,055	(3%)	(5%)	(10%)
Profit/(loss) before tax	36,474	39,361	42,088	35,044	37,662	40,436	35,044	37,662	40,436	4%	4%	4%
Taxation	(7,459)	(8,049)	(8,607)	(7,273)	(7,773)	(8,418)	(7,273)	(7,773)	(8,418)	2%	3%	2%
Profit/(loss) after tax	29,015	31,312	33,481	27,771	29,889	32,018	27,771	29,889	32,018	4%	5%	4%
Non-controlling interest	(102)	(110)	(117)	(291)	(184)	(160)	(291)	(184)	(160)	(187%)	(68%)	(37%)
Preferred shareholders	(1,196)	(1,186)	(1,175)	(1,107)	(1,117)	(1,135)	(1,107)	(1,117)	(1,135)	7%	6%	3%
Net profit/(loss) to ordinary shareholders	27,717	30,016	32,189	26,373	28,588	30,723	26,373	28,588	30,723	5%	5%	5%
P&L (Notable items, US\$m)	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Banking NII	-	-	-	-	-	-	-	-	-	-	-	-
Fee and other income	(600)	(225)	(175)	(195)	(19)	(201)	(195)	(19)	(201)	67%	92%	(15%)
Total revenue	(600)	(225)	(175)	(195)	(19)	(201)	(195)	(19)	(201)	67%	92%	(15%)
Change in ECL and other impairments	-	-	-	-	-	34	-	-	34	-	-	-
Total operating expenses	(1,000)	(500)	(500)	(783)	(192)	(192)	(783)	(192)	(192)	22%	62%	62%
Profit in associates and JVs net of impairment	-	-	-	-	-	105	-	-	105	-	-	-
Profit/(loss) before tax	(1,600)	(725)	(675)	(978)	(211)	(254)	(978)	(211)	(254)	39%	71%	62%
P&L (Adjusted, US\$m)	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Banking NII	45,499	46,524	48,048	43,510	44,366	46,045	43,510	44,366	46,045	4%	5%	4%
Fee and other income	27,929	29,444	31,170	27,969	29,582	31,476	27,969	29,582	31,476	(0%)	(0%)	(1%)
Total revenue	73,429	75,968	79,218	71,478	73,948	77,521	71,478	73,948	77,521	3%	3%	2%
Change in ECL and other impairments	(4,086)	(4,046)	(4,077)	(3,964)	(3,854)	(3,816)	(3,964)	(3,854)	(3,816)	3%	5%	6%
Total operating expenses	(33,949)	(34,572)	(35,168)	(34,260)	(35,086)	(35,965)	(34,260)	(35,086)	(35,965)	(1%)	(1%)	(2%)
Profit in associates and JVs net of impairment	2,681	2,735	2,790	2,768	2,864	2,950	2,768	2,864	2,950	(3%)	(5%)	(6%)
Profit/(loss) before tax	38,074	40,086	42,763	36,022	37,873	40,690	36,022	37,873	40,690	5%	6%	5%
Key metrics (US\$)	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Loans and advances to customers (net, bn)	1,028	1,067	1,105	1,008	1,037	1,073	1,008	1,037	1,073	2%	3%	3%
RWAs (bn)	919	950	981	899	922	955	899	922	955	2%	3%	3%
CET1 ratio	14.1%	14.1%	14.2%	14.2%	14.3%	14.3%	14.2%	14.3%	14.3%	-	-	-
EPS - Reported inc AT1	1.61	1.80	1.99	1.55	1.72	1.92	1.55	1.72	1.92	4%	4%	4%
Cost of risk	(41)	(39)	(38)	(39)	(38)	(36)	(39)	(38)	(36)	-	-	-
ROTE - Reported inc AT1	16.8%	17.4%	17.9%	16.2%	17.0%	17.7%	16.2%	17.0%	17.7%	-	-	-
ROTE - Adjusted inc AT1	17.6%	17.7%	18.2%	16.6%	17.0%	17.4%	16.6%	17.0%	17.4%	-	-	-
DPS (total)	0.85	0.92	1.01	0.78	0.86	0.97	0.78	0.86	0.97	8%	6%	4%
TBVps	9.88	10.57	11.38	9.80	10.52	11.22	9.80	10.52	11.22	1%	0%	1%
Average basic shares outstanding (m)	17,035	16,545	16,036	17,030	16,580	16,082	17,030	16,580	16,082	0%	(0%)	(0%)
Buybacks (m)	7,000	9,500	9,500	6,111	9,472	9,563	6,111	9,472	9,563	13%	0%	(1%)

Source: Pre Q4'25 company-complied consensus, Visible Alpha (2028E), RBC Capital Markes estimates.

Valuation - SOTP

Exhibit 5 - HSBC - Sum of the parts valuation

DIVISIONAL	Inputs					Residual Income Method					
	Net profit	Adj's RWAs	CET1 Target	Capital Allocation	Shares	ROE	COE	P/B	Implied P/E	Growth (g)	Valuation (£m)
2027 SOTP (Adj, \$m)											
Hong Kong	8,933	144,268		20,558		43.5%	10.5%	4.14x	9.2x	3.0%	82,442
UK	6,480	173,125		24,670		26.3%	10.0%	2.63x	7.4x		48,177
Corporate & Institutional Banking	9,926	441,883		62,968		15.8%	13.0%	1.21x	6.0x	3.0%	59,757
International Wealth & Premier Banking (inc	4,066	99,694		14,206		28.6%	11.5%	2.49x	6.5x		26,290
Corporate Centre	1,185	91,518		13,041		9.1%	11.8%	0.77x	6.3x		7,499
Total	30,591	950,488	14.25%	135,445	16,681						
Valuation											224,165
											1,344
											1,200

Source: RBC Capital Markets estimates



Sensitivity analysis

Exhibit 6 - HSBC - Sensitivity analysis

	Lower rates (25bps)	Loan growth (1%)	Fee growth (1%)	Cost growth +1%	Cost of risk +10%	FICC rev (10%)	Equities rev (10%)	IB fees (10%)	AM & WM rev (10%)
Impact (FY26E)									
% of Net Profit	(2.3%)	(0.6%)	(0.7%)	(0.9%)	(1.1%)			(0.3%)	(2.8%)
ROTE	(57bps)	(30bps)	(32bps)	(34bps)	(38bps)			(24bps)	(0bps)
CET1 ratio	(7bps)	12bps	(2bps)	(3bps)	(4bps)			(1bps)	(0bps)

Source: RBC Capital Markets estimates



Exhibit 7 - HSBC - Summary

HSBC (HSBA): Summary of financials

Chairman: Brendan Nelson

CEO: Georges Elhedery

CFO: Pam Kaur

Share price (GBP):	1,394				
Year end:	December				
GBP/USD	0.74				
P&L (adj \$m)	2024	2025	2026E	2027E	2028E
Total revenue	67,434	71,020	73,429	75,968	79,218
Change in ECL and other impairments	(3,414)	(3,850)	(4,086)	(4,046)	(4,077)
Net operating income	64,020	67,170	69,342	71,922	75,142
Total operating expenses	(32,810)	(33,464)	(33,949)	(34,572)	(35,168)
Operating profit	31,210	33,706	35,393	37,351	39,973
Profit in associates & JVs	2,912	2,911	2,681	2,735	2,790
Profit/(loss) before tax	34,122	36,617	38,074	40,086	42,763
Profit/(loss) before tax (reported)	32,309	29,907	36,474	39,361	42,088
Net attributable profit (inc AT1)	24,730	27,812	28,986	30,591	32,724
Net attributable profit (reported)	22,917	21,102	27,717	30,016	32,189
Shares outstanding y/e (m)	18,497	17,577	17,171	16,681	16,172
EPS (inc AT1)	1.34	1.58	1.69	1.83	2.02
EPS (reported)	1.24	1.20	1.61	1.80	1.99
RATIOS / GROWTH RATES	2024	2025	2026E	2027E	2028E
Net interest margin (avg assets) %	1.08	1.11	1.12	1.13	1.16
Cost income ratio (adj) %	49	47	46	46	44
NPL cost of risk %	0.37	0.40	0.41	0.39	0.38
Tax rate %	21	19	20	20	20
Net interest income growth %	(9)	6	5	4	4
Revenue growth %	3	5	3	3	4
Cost growth %	3	2	1	2	2
Pre provision profit growth %	3	8	5	6	7
EPS (adj) growth %	4	18	7	9	10
TBVps growth %	5	11	4	7	8

BALANCE SHEET (\$m)	2024	2025	2026E	2027E	2028E
Stated equity	165,903	177,509	180,688	187,250	194,796
Tangible equity	154,295	165,153	168,332	174,894	182,440
BVps	9.2	10.2	10.6	11.3	12.1
TBVps	8.6	9.5	9.9	10.6	11.4
Assets	3,017,048	3,233,034	3,308,777	3,377,163	3,450,083
Customer loans (net)	930,658	988,399	1,027,748	1,066,635	1,105,412
Loan growth %	(1)	6	4	4	4

SOLVENCY (\$m)	2024	2025	2026E	2027E	2028E
CET 1 capital	124,911	132,593	129,659	133,969	138,980
Tier 1 capital	144,127	153,397	150,463	154,773	159,784
RWA	838,254	888,647	918,805	950,488	981,124
Leverage exposure	2,573,696	2,894,283			
Core tier 1 ratio %	14.9	14.9	14.1	14.1	14.2
Tier 1 ratio %	17.2	17.3	16.4	16.3	16.3

Tier 1 leverage ratio %					
Dividends (cash)	12,043	12,971	14,493	15,295	16,362
Dividends (scrip)	0	0	0	0	0
Dividends (special)	3,985	0	0	0	0
Share buybacks	11,000	6,000	7,000	9,500	9,500
Total shareholder return	27,028	18,971	21,493	24,795	25,862
Dividend payout ratio %	70	62	50	50	50
Total payout ratio %	118	91	75	82	80
Capital generation (adj as % of RWA)	3.9	4.0	4.0	4.1	4.2
CET1 requirement %	11.1	11.1	11.1	11.1	11.1
Management target %	14-14.5	14-14.5	14-14.5	14-14.5	14-14.5

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Market cap (£m)	239,354				Stock exchange
					London Stock Exchange
					Hong Kong Stock Exchange
KEY VALUATION PARAMETERS	2024	2025	2026E	2027E	2028E
EPS (adj inc AT1)	1.34	1.58	1.69	1.83	2.02
EPS (reported)	1.24	1.20	1.61	1.80	1.99
Pre provision profit ps	1.69	1.92	2.06	2.24	2.47
BVps	9.20	10.19	10.61	11.32	12.15
TBVps	8.55	9.48	9.88	10.57	11.38
ROE (adj inc AT1) %	14.8	16.2	16.2	16.6	17.1
ROE (reported) %	14.4	13.0	16.1	17.0	17.5
ROTE (adj inc AT1) %	15.7	17.4	17.6	17.7	18.2
ROTE (rep inc AT1) %	14.6	13.2	16.8	17.4	17.9
Ordinary DPS	0.66	0.75	0.85	0.92	1.01
Total shareholder return ps	1.46	1.09	1.26	1.49	1.60

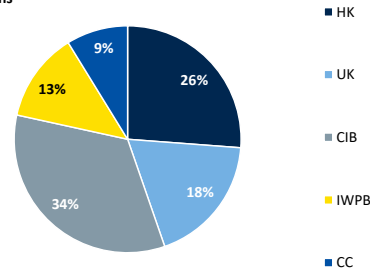
CONSENSUS	2024	2025	2026E	2027E	2028E
EPS (rep inc AT1)			1.55	1.72	1.92
RBC vs consensus %			4	5	4
DPS			0.78	0.86	0.97
RBC vs consensus %			9	7	4

VALUATION MULTIPLES	2024	2025	2026E	2027E	2028E
P/E (adj)		11.8x	11.1x	10.2x	9.3x
P/E (reported)		15.6x	11.6x	10.4x	9.4x
P/ pre provision profit		9.8x	9.1x	8.4x	7.6x
P/BV		1.84	1.77	1.66	1.54
P/TBV		1.98	1.90	1.77	1.65
Dividend yield %		4.0	4.5	4.9	5.4
Total return yield %		5.8	6.7	7.9	8.5

VALUATION	2024	2025	2026E	2027E	2028E
ROTE (adj inc AT1) %			17.6	17.7	18.2
TBVps			9.9	10.6	11.4
COE %			11.8	11.8	11.8
Growth rate %			3.0%	3.0%	3.0%
Linear model			1,095	1,057	1,046
Growth model			1,096	1,058	1,047
Dividend discount model			657	698	752
Sum of the parts				1,200	
Price target				1,200	
Implied % upside/ (downside)				-14	

KEY CHARTS (2025A)

Adj PBT split by divisions



POTENTIAL CATALYSTS

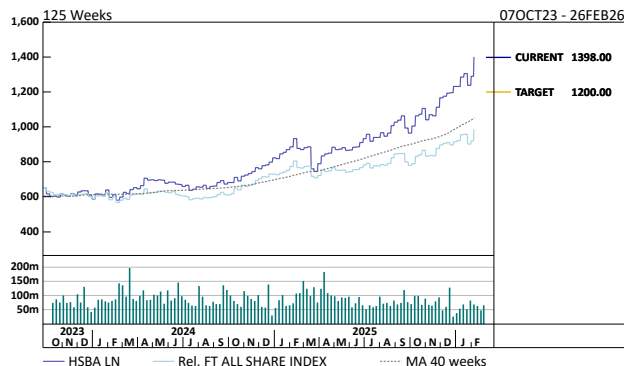
Q1'26 Results - May 5th 2026

For RBC Capital Markets European Banks valuation comparatives, recent research, and other data please see [RBC Insight](#) or Bloomberg <RBCR> GO
Source: RBC Capital Markets estimates, Company Reports, Bloomberg, Visible Alpha (priced at 16:30 GMT, 27th February 2026)



Target/Upside/Downside Scenarios

HSBC Holdings plc



Source: Bloomberg and RBC Capital Markets estimates for Target

Valuation

We value HSBC using a SOTP model by division based on our 2027 estimates discounted back one year to 2026E at a cost of equity of 11.8%, and using a return on allocated capital for each division. Our 1,200p price target supports our Sector Perform rating.

Upside scenario

Our upside scenario of 1,450p assumes lower than through-the-cycle cost of risk levels and c.25bps higher Group NIM in 2027 than we are currently modelling.

Downside scenario

Our downside scenario of 1,000p assumes a significant headwind to loan growth, cost of risk in 2027 above through-the-cycle levels, as well as an increase in cost of equity of 2ppts.

Investment summary

HSBC is a well diversified bank, delivering an attractive ROTE and shareholder returns. The bank has been successful at restructuring and simplifying the business over the last 5yrs, and we think that there is more to go.

Asian wealth is a key growth area for HSBC which should continue to grow other income over the medium term. East vs West tensions are not as elevated as they have been. However, we believe all of the above factors are well reflected in the bank's current valuation, and we see more upside elsewhere.

Risks to rating and price target

The most significant risks to our rating and price target are:

- Faster-than-expected rate cuts across the bank's core geographies.
- A further deterioration in Asian Commercial Real Estate.
- US tariffs.
- Big tickets conduct and litigation items.
- The Chinese government targeting banks as part of its drive for common prosperity.
- Lower-than-expected avg. GDP growth, particularly in Asia.
- Madoff litigation.



Company description

HSBC is one of the World's largest financial institutions, headquartered in London, with the majority of its business in Asia. It is a universal bank offering retail, commercial, wealth management, and investment banking services in more than 60 countries across the world.

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RBC Capital Markets has provided HSBC Holdings plc with non-securities services in the past 12 months.

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Ratings



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Sector Perform (SP): Returns expected to be in line with sector average over 12 months.

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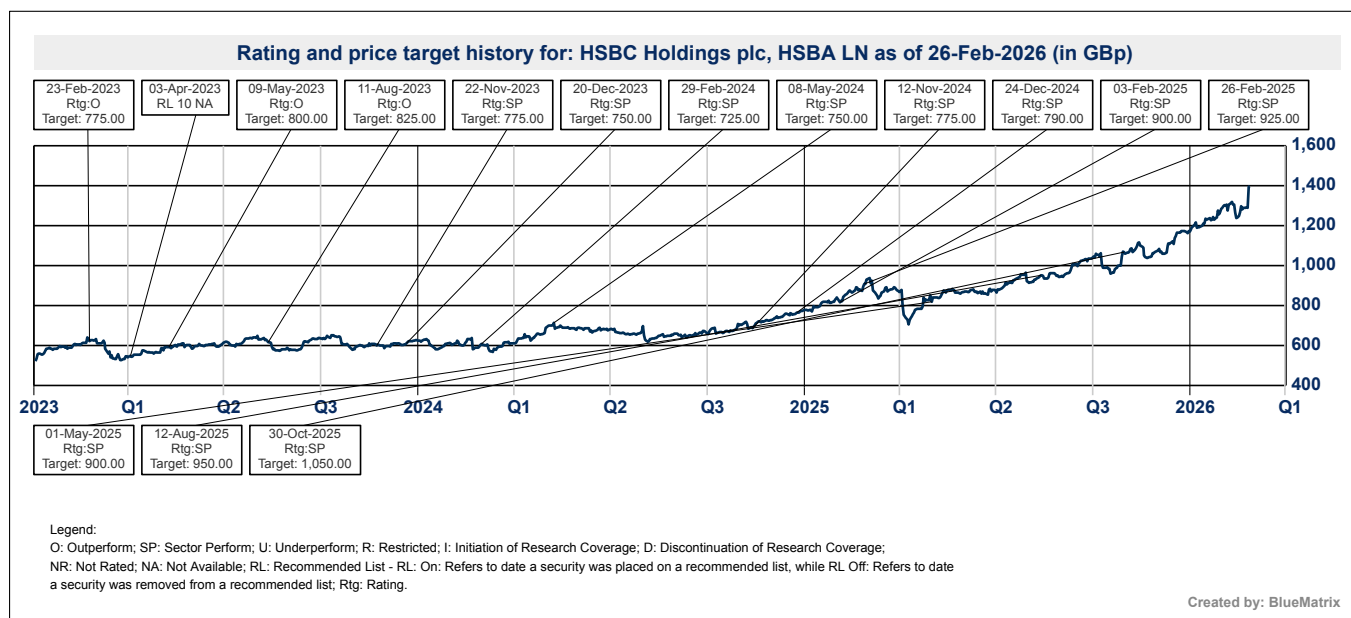
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			Serv./Past 12 Mos.	
			Count	Percent
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HOLD [Sector Perform]	586	38.65	160	27.30
SELL [Underperform]	46	3.03	3	6.52



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HSBC Holdings plc

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- Madoff litigation.

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